

managed to achieve your highest return ever, despite having your largest assets under management ever. Most hedge funds end up having size-related difficulties managing much smaller sums.

There are two major differences between us and most other hedge funds. Most hedge funds trade fewer markets, and they trade much more actively. We trade virtually every liquid market in the world, so the amount we have committed to any single market is small relative to our total equity. We also change our positions slowly. As you know, transaction costs are a function of the amount you have to move in a given time frame. Therefore, we have considerably more capacity than managers who trade fewer markets and turn their positions over more quickly.

What is your turnover rate per market, per year?

It depends what you mean by turnover rate. If you are defining turnover as moving from net long to net short rather than changes in magnitude, then the average time length is about 12 to 18 months.

So it is a very slow process.

Yes, on average.

What about a year like 2008 when markets are witnessing huge price swings in a matter of days?

In some years, the turnover rate might be significantly greater than in others, though in 2008, it wasn't much above the average. I believe you are thinking that we would be trading more during a volatile period, but that's not necessarily true. Our trades are driven directly by fundamentals and only indirectly by price to the extent that price changes make a market cheaper or more expensive.

I guess then that another reason why size may not be as much of an issue as might be surmised based on your huge assets under management is that you will have a tendency to be a seller when the market is heavily bid and a buyer when it is heavily offered.

While that is often the case, it wouldn't be true if the fundamentals were changing faster. We will trade in the opposite direction of the price movement if all the fundamentals remain unchanged. For example, if